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कर्मचारी भविष्य निधि संगठन
(अम मंत्रालय भारत सरकार)
Employees' Provident Fund Organisation
(Ministry of Labour, Govt. Of India)
मुख्य कार्यालय/Head Office
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File no.HO./IMC/49/Investment Pattern/2011

Dated: 22.01.2014

To,

All Addl.CPFCs(Head Office/ Zones)
All RPFCs In charge of ROs/SROs

23 JAN 2014

Subject:-Notification of New Investment Pattern No. S.O. 3450(E) dated 21.11.2013 notified by Ministry of Labour & Employment, Govt. of India, - regarding.

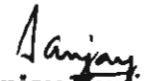
Sir,

The New Investment Pattern No. S.O. 3450(E) dated 21.11.2013 notified by Ministry of Labour & Employment, Govt. of India is enclosed herewith for information. The said Pattern is applicable to EPFO managed funds only.

The New Investment Pattern for Exempted Trusts is likely to be notified soon and the same shall be made available on receipt from the Ministry of Labour & Employment.

Yours faithfully,

Encl: As above


(Sanjay Kumar)
Regional P.F.Commissioner-I (IMC)

MINISTRY OF LABOUR AND EMPLOYMENT

NOTIFICATION

New Delhi, the 21st November, 2013

S.O. 3450(E).— In exercise of the powers conferred by sub-paragraph (1) of paragraph 52 of the Employees' Provident Funds Scheme, 1952 and in supersession of the notification of the Government of India in the Ministry of Labour No. S.O. 2125 dated the 9th July, 2003 the Central Government hereby directs that all incremental accretions belonging to the Fund shall be invested in accordance with the following pattern namely:—

S.No.	Investment Pattern	Percentage amount to be invested
(i)	(a) Government securities ^I (b) Other securities ^{II} , the principal whereof and interest whereon is fully and unconditionally guaranteed by the Central Government or any State Government except those covered under (ii) (a) below. (c) Units of mutual funds set up as dedicated funds for investment in Government securities and regulated by the Securities and Exchange Board of India;	Upto 55
	Provided that the exposure to a mutual fund shall not be more than 5% of the total portfolio at any point of time.	
(ii)	Debt securities with maturity of not less than three years tenure issued by Bodies Corporate including banks and public financial institutions ^{III} ; Provided that at least 75% of the investment in this category is made in instruments having an investment grade rating from at least one credit agency. (b) Term Deposit Receipts of not less than one year duration issued by scheduled commercial banks. Provided that the scheduled commercial banks must meet conditions of; (i) Continuous profitability for immediately preceding three years; (ii) Maintaining a minimum Capital to Risk Weighted Assets Ratio of 9%; (iii) Having net non-performing assets of not more than 2% of the net advances; (iv) Having a minimum net worth of not less than Rs. 200 crores. (c) Rupee Bonds having an outstanding maturity of at least 3 years issued by Institutions of the International Bank for Reconstruction and Development, International Finance Corporation and the Asian Development Bank.	Upto 55
(iii)	Money market instruments including units of money market mutual funds	Upto 5
(iv)	Shares of companies on which derivatives are available in Bombay Stock Exchange or National Stock Exchange or equity linked scheme of mutual funds regulated by the Securities and Exchange Board of India.	Nil
'I'	Government Securities' as defined in Section 2(b) of the Securities Contracts (Regulation) Act, 1956.	
'II'	Securities' as defined in section 2(h) of the Securities' Contracts (Regulation) Act, 1956	
'III'	Public Financial Institutions' as specified under Section 4A of the companies Act, 1956.	
2.	Any moneys received on the maturity of earlier investments reduced by obligatory outgoing shall be invested in same category.	
3.	Turnover Ratio (the value of Securities traded in the year/average value of the portfolio at the beginning of the year and the end of the year) should not exceed 2.	
4.	If any of the instruments mentioned above are rated and their rating falls below investment grade as confirmed by one credit rating agency then the option of exit can be exercised.	
5.	The Investment pattern as envisaged above may be achieved by the end of the financial year. However any volatility re-balancing at the end of the year may be avoided.	
6.	It may be noted, however, that the investment of the Funds of a Trust is the Fiduciary responsibility of the Trustees and needs to be exercised with appropriate due diligence. Therefore, as such, the trustees are solely responsible for the investment decisions taken in accordance with the pattern of investment specified above.	